



President's Report

Ramon S. Monzon

President & CEO

13 Aug 2022 | Annual Stockholder's Meeting



Presentation Outline



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Stock Market Highlights

2

Financial Performance

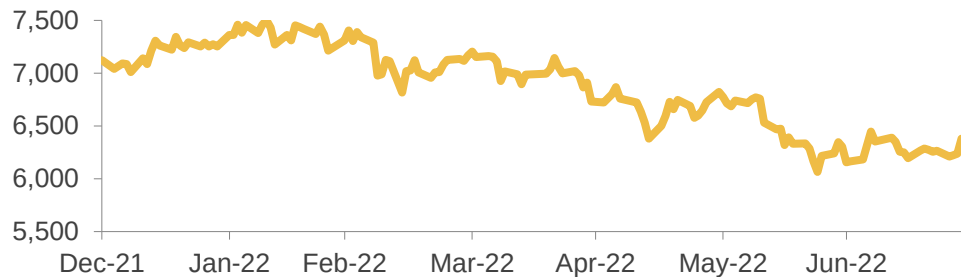
3

Products & Services in the Pipeline

Stock Market Performance



PSEi 2021 to Present



Year-on-Year

-0.2%	2021
	7,122.63 pts
	2020
	7,139.71 pts

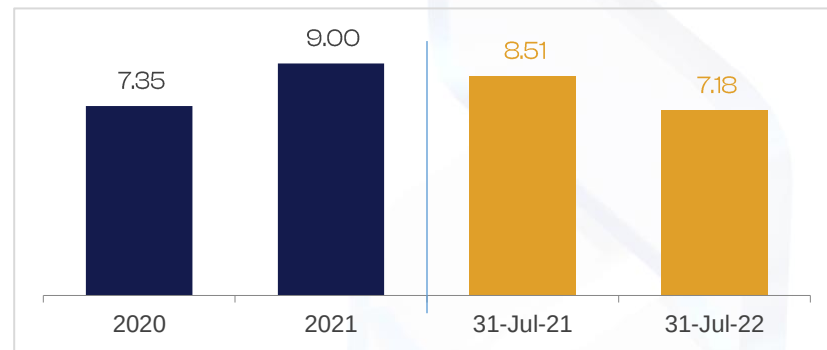
Year-to-Date

-11.3%	31 Jul 2022
	6,315.93 pts

Stock Market Indicators

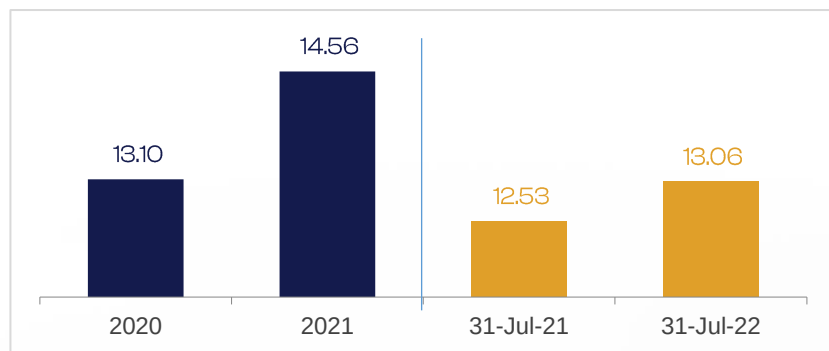
Ave. Daily Value Turnover (Php bn)

-20.2% YTD



Domestic MCAP (Php tn)

-10.3% YTD

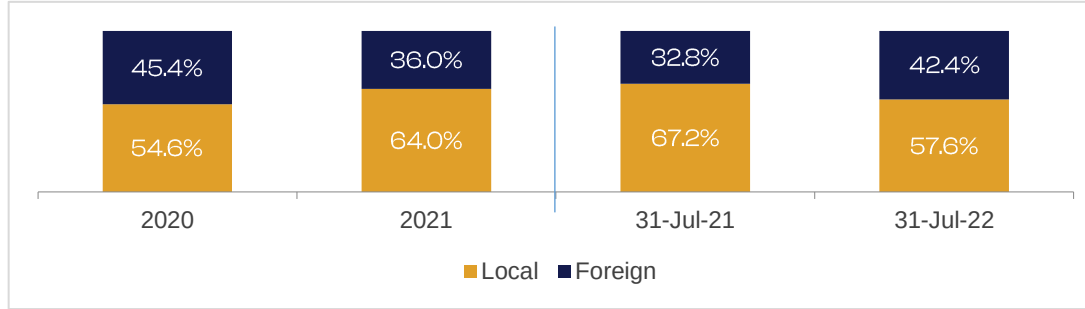


Retail vs Institutional Trading (in %)

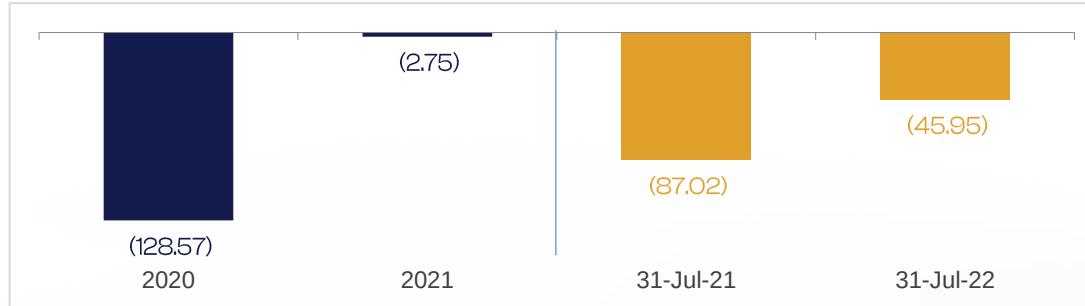


Stock Market Indicators

Local vs Foreign Activity

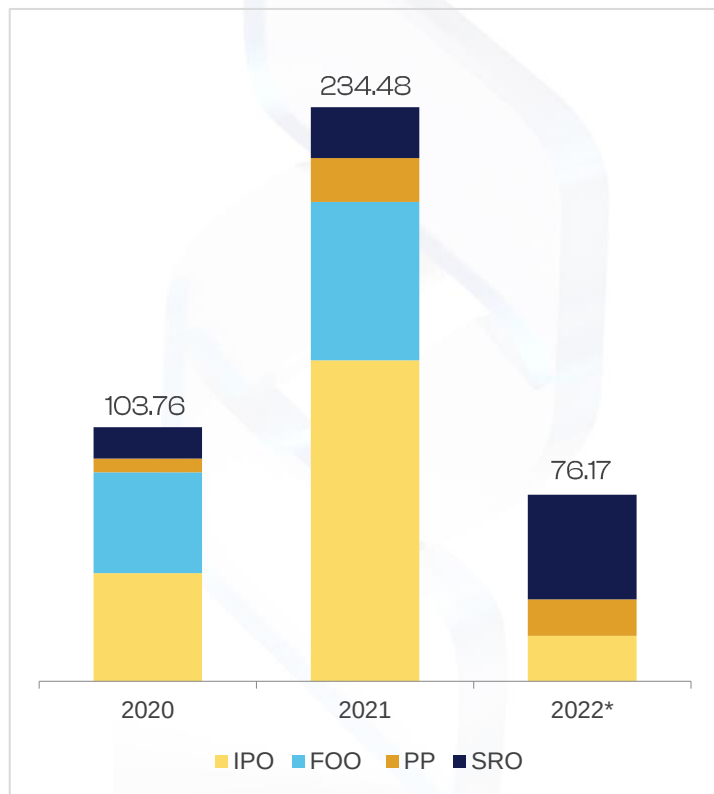


Net Foreign Transactions (Php bn)



Stock Market Indicators

Capital Raised* (Php bn)



*Includes primary and secondary shares, as of 03 Aug 2022

Initial Public Offering

Haus Talk, Inc.
Php750 million

CTS Global Equity Group
Php1.38 billion

VistaREIT, Inc.
Php4.81 billion

Citicore Energy REIT Corp.
Php6.40 billion

Bank of Commerce
Php3.37 billion

Balai Ni Fruitas Inc.
Php288.75 million

Figaro Coffee Group, Inc.
Php767.39 million (IPO)

Raslag Corporation
Php805 million

Private Placement

Greenenergy Holdings, Inc.
Php752.54 million

DITO CME Holdings Corp.
Php1.28 billion

Discovery World Corp.
Php76 million

AC Energy Corporation
Php11.58 billion

Shakey's Pizza Asia Ventures, Inc.
Php1.25 billion

Stock Rights Offer

Union Bank of the Philippines
Php40 billion

Philex Mining Corporation
Php2.65 billion

Manila Mining Corporation
Php14.96 million

Listing pipeline remains robust

More companies set to list their shares in 2022



Upson International Corp.
~Php5.43 billion (IPO)



Prime Infrastructure Capital, Inc.
~Php28.20 billion (IPO)



Alternergy Holdings Corporation
~Php2.18 billion (IPO)



Solar Philippines Nueva Ecija Corp.
~Php3.30 billion (SRO)



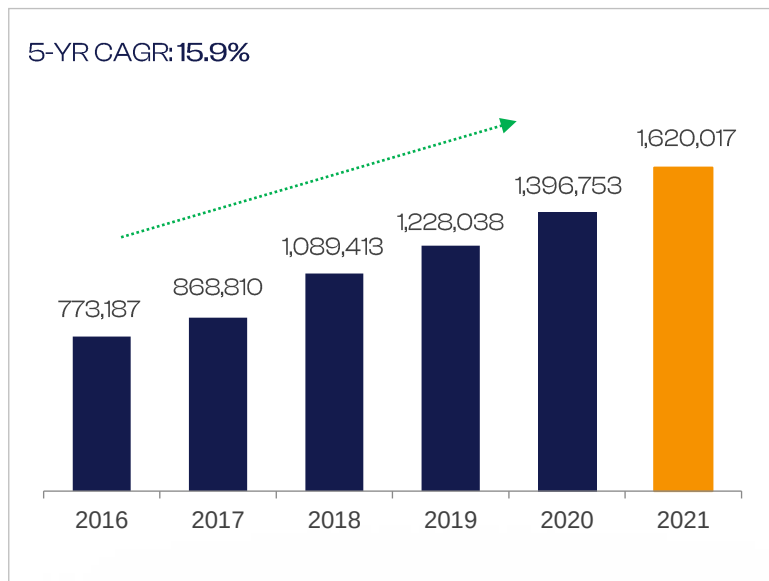
Globe Telecom, Inc.
~Php32.0 billion (SRO)

Stock market investors are growing in number

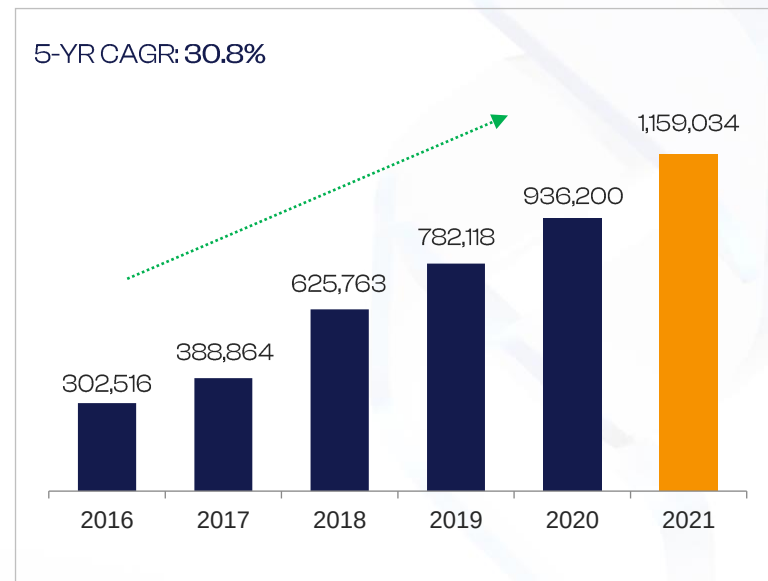
Digital acceleration during the pandemic fueled growth



Total Accounts



Online Accounts



Online accounts comprised **71.5%** of the total accounts.

Consolidated Financial Performance



in Php mn	2020	2021		6M21	6M22	
Operating Revenues	1,314.36	1,646.51	+25.3%	741.35	849.24	+14.6%
Total Expenses	661.11	669.46	+1.3%	363.66	362.49	-0.3%
Operating Income	653.26	977.06	+49.6%	377.69	486.75	+28.9%
Investment Income	108.08	116.91	+8.2%	30.36	(105.98)	-449.1%
Other Income	104.64	104.40	-0.2%	48.51	74.61	+53.8%
Net Income	656.81	919.48	+40.0%	377.98	374.05	-1.0%

6M21 vs 6M22

- Net income in 6M22 was slightly lower at P374.05 million compared to P377.98 million last year, largely on account of the decline in investment income, albeit offset by higher revenues and slightly lower expenses.
- Investment income decreased by 449.1% as mark-to-market loss on FVTPL widened to P145.29 million from a loss of P3.58 million a year ago.

Financial Ratios



	2020	2021	6M22*
Return on Assets (%)	9.7	12.3	13.2
Return on Equity (%)	12.0	16.0	17.7
Earnings per Share (Php)	8.10	11.33	11.26
Price per Share (Php)	153.90	215.00	185.00
Price to Earnings Ratio	19.01x	18.98x	16.43x
Dividend per Share (Php)	8.00	**11.00	
**paid on 04 April 2022 (Php4 regular; Php7 special)			
Dividend Yield (%)	5.2	5.1	

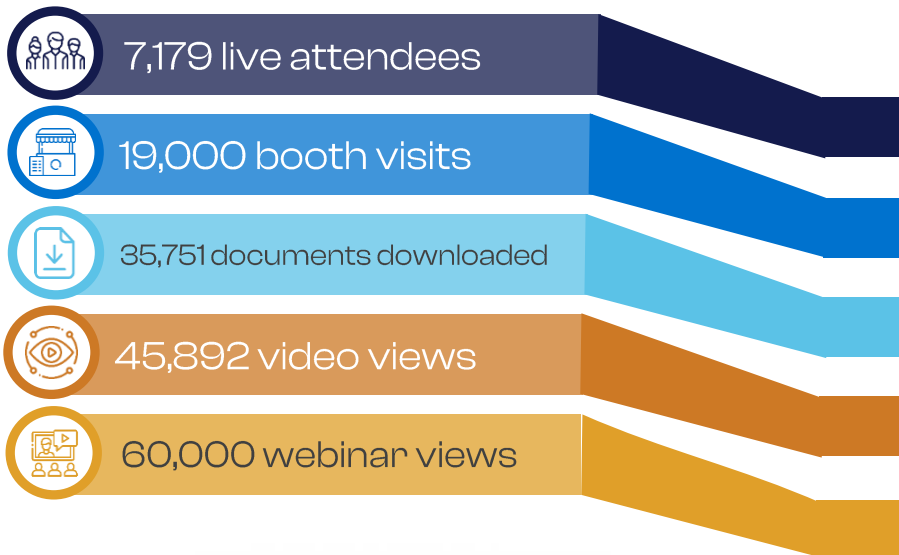
*trailing twelve months

Completed Initiatives



First Virtual Investment Expo

A two-day expo that touched on a wide range of personal finance and investment-related topics



New Indices

Designed to showcase the performance of mid-sized and dividend paying companies



OBJECTIVES

- Encourage more trading for non-PSEi securities
- Additional tools for investors to track market performance
- Alternative benchmark indices for new ETFs or investment funds



- Focuses on the top 20 companies that consistently give high-yielding dividends



- Designed to capture the performance of the top 20 mid-sized companies in PSE

Issuer Services Program: Virtual Investor Briefing

A three-day online event held in partnership with FMAP & TOAP and co-hosted by Bloomberg



PSE STAR | Investor Day

Strengthening Access and Reach

First run of STAR Investor Day conducted on May 24-26

Second run of STAR Investor Day scheduled on Aug 16-18



MAX'S
GROUP

CENTURY
PACIFIC
FOOD, INC.



AXELUM
resources corp.

FILINVEST
LAND, INCORPORATED

MEGAWIDE



CGMEX HOLDINGS
PHILIPPINES

All Day
Supermarket

CHINABANK
BANK LTD

SECURITY BANK



NAC



A platform for non-PSEi companies to communicate their plans and prospects to analysts and investors alike. The program aims to bring more attention to these non-index PLCs, drive liquidity, and encourage follow-on offerings.

Showcased the first quarter performance results and latest corporate plans of the participating PLCs.

15 listed companies

835 total attendees

200 of which are institutional investors and equity analysts

261 average attendees per segment

vs 50 when LCs conduct their own briefings

Regulatory Enhancements & Reforms

New Rules and Rule Enhancements



 George Morina | Pexels

Preferred Shares Only Listing

- Option to raise funds through IPO by issuing preferred shares, without subsequent listing of common shares.
- Viable mode of capital raising by PPPs/infrastructure companies who are not yet ready to offer common shares to the public as full earnings potential have not yet been reached.

Amendments to Backdoor Listing Rules

- Puts in place more stringent measures in regulating reverse takeovers or transactions leading to the backdoor listing of unlisted companies

Amendments to the Rule for Local Small Investors

- Authorizes the Exchange to increase the maximum subscription amount beyond Php100k, depending on the offer size of the IPO
- Higher chance for issuers to achieve maximum LSI take-up

Regulatory Enhancements & Reforms

New Rules and Rule Enhancements



 George Morina | Pexels

Amendments to Lock-up Rule in Main and SME Boards

- Allows alternative investment funds (AIFs) to sell their shares during the IPO, subject to certain conditions.
- This frees up capital for the AIFs to reinvest in other target firms.
- Increases number of available shares to IPO investors

Lock-up Exemption and Stockholders' Equity Requirement for REITs

- Exempts REIT sponsors from the lock-up requirement to enable secondary offering of REIT shares during the IPO.
- Compliance with the Php500 million stockholders' equity requirement shall be determined at the time of filing of listing application

Products & Services in the Pipeline



Delivering more digital solutions

Enriching the end-to-end investor journey with technology



New Clearing & Settlement System

- System expected to **go live in 2H 2022**
- Migrate to T+2 settlement after system launch
- Can handle multi-currency settlement



Data Analytics Platform

- Empower investors to analyze data on their own
- Democratize access to market data
- **Target: 2H 2022 (mobile); 2H 2022 (web)**



PSE EASy Phase 2

- Integrate an online payment system for IPO subscriptions
- **Target: 2H 2022**



e-KYC Platform

- Facilitate online KYC for new stock market clients
- Standardize info-sharing between investors, TPs, and regulators
- **Target: 2H 2022**



New PSE Academy Website

- Enhanced website and increased learning materials
- **Target: 2H 2022**



The PSE is also exploring the development of a platform for digital assets.



Enhancing liquidity

Bringing more products & services to the market



Short Selling

- Approval of GMSLA (BIR)
- Approval of offshore collateral (SEC)
- Approval of PDTC's application as Securities Lending Agent (SEC)
- **Target launch: 2H 2022**

MOU with Bank of China (Hong Kong) Limited – Manila Branch

Creating value through collaboration



Support bilateral investment and trade through capital market linkages between the Philippines and China



Creation of a working group to explore areas of cooperation and exchange of information on settlement infrastructure and building the same for account opening, foreign exchange and cross-border settlement



Potentially fast track the stock connect initiative between the PSE and the three stock exchanges in China



Other areas for cooperation include the provision for banking services by BOCMNL for the PSE and its stakeholders

Thank You.

CONTACT US

Philippine Stock Exchange Tower

5th Avenue corner 28th Street

Bonifacio Global City

Taguig City 1634 Philippines

Tel No: +632 8876 4888

Email: info@pse.com.ph

VISIT

For Corporate Information

www.pse.com.ph

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